

The background of the entire image is a blue-toned collage of financial data. It includes line graphs with fluctuating lines, candlestick charts with white and blue bars, and various numerical values such as 1.7855, 1.7810, 1.7765, 1.7900, 1.7855, 1.7810, 1.7765, 14.56, 19.4, 11.15, 08.47, and 19.4. Some elements are circled, and there are small white dots scattered across the lower right portion of the blue area.

FUTURES & OPTIONS MADE EASY [FOME] ORIENTATION



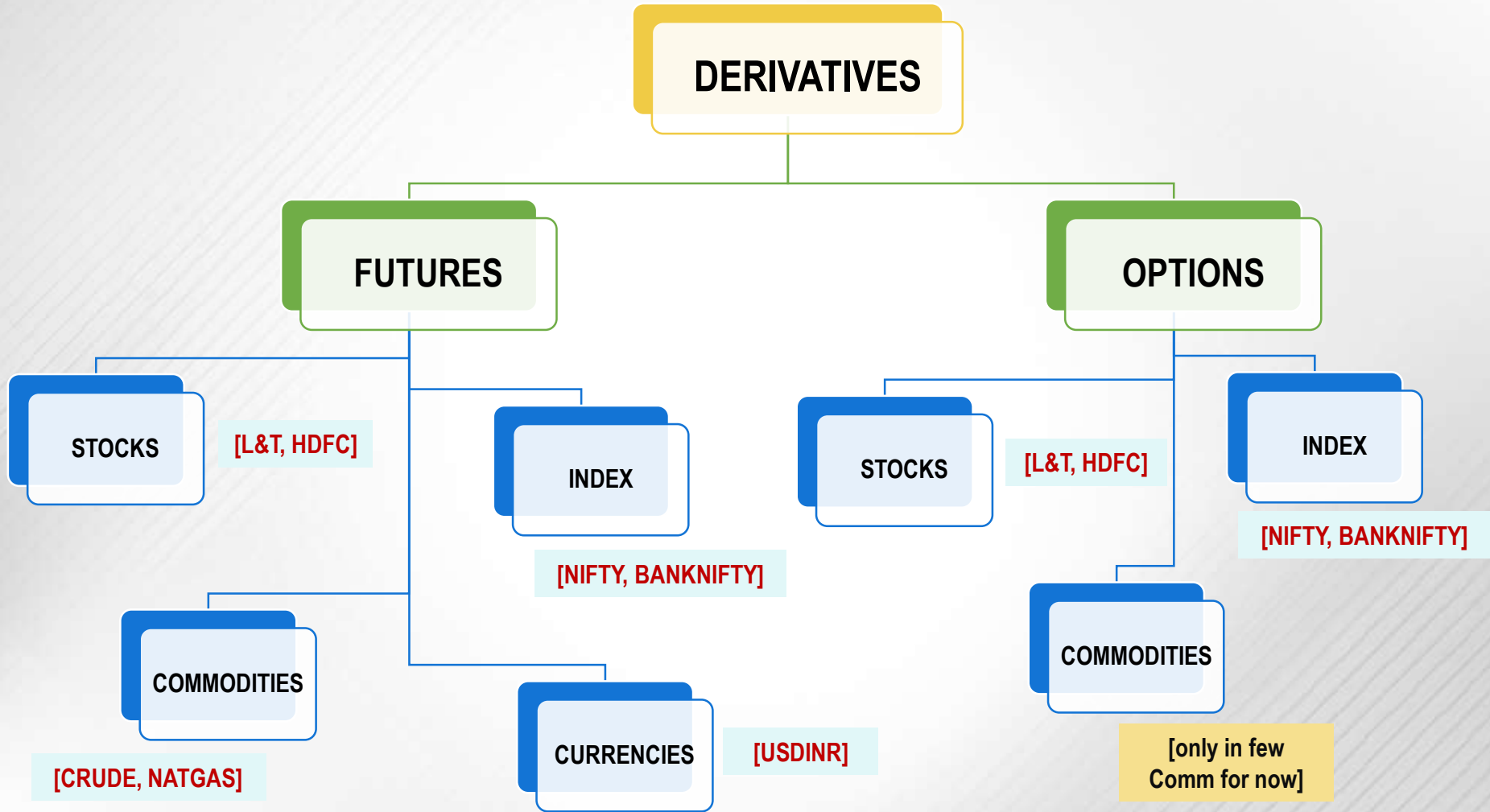
BECOME A PRO
MONEY WILL FLOW

FOCUS = SUCCESS!

WHAT ARE DERIVATIVES?

- ✓ It is a financial product/contract which does not have its own value.
- ✓ It derives its value from an underlying asset.
- ✓ These could be stocks, indices, commodities, currencies, exchange rates, or the rate of interest.
- ✓ E.g. INFOSYS ticker traded in Futures market is a “DERIVATIVE” of INFY stock from the Equity (Spot) market.
- ✓ These financial instruments help you make profits by betting on the future value (Both Up and Down side) of the underlying asset.
- ✓ In the Indian markets, **FUTURES** and **OPTIONS** are standardized contracts, which can be freely traded on exchanges.

TYPES OF DERIVATIVES



WHY DERIVATIVES?

- ✓ Less Money required to invest
 - Example:
 - 500 RIL shares @1000 in cash market = Rs. 5 L
 - 1 Lot (500 shares) of RIL in futures (@20% margin) = Rs. 1.0 L
 - 1 Lot of RIL – 500 Call Option @ Rs. 15 premium = Rs. 7,500
- ✓ Hedging against Investments
- ✓ Speculating Market or Stock Moves
- ✓ Earning Rent on Stock Investments
- ✓ Arbitrage Trading

FACT OF DERIVATIVES MARKET

BITTER FACT:

95 % LOSE MONEY

&

5 % MAKE MONEY

INTERESTING FACT:

5 % MAKE MONEY THAT 95% HAVE LOST

DIFFERENCE B/W EQUITY & DERIVATIVES MARKET

PARAMETERS	EQUITY MARKET	DERIVATIVES MARKET
OWNERSHIP	When you buy a share in Equity market, you actually own those many units of the company.	In Derivatives market, contracts are traded of underlying assets, hence you don't actually own the units of company.
INVESTMENT	Total Cost of Shares	Margin Cost for Futures (15-20%), Premium & Margin Cost for Options
SHARE QUANTITY	No restriction, can trade/invest even single share	As per standard Lot size. E.g. Reliance – 1 Lot (1000 shares)
DURATION OF HOLDING	No Specified Duration	One/Two/Three Months contracts expire at last Thursday of each Month
SHORT SELLING	Only Intra-day	Intra-day as well as Positional
ROI (Eg.: 10% MOVE IN STOCK PRICE)	10%	Futures: 50-60%, Options: 100-500% approx.
PRICE DENOMINATION	Spot Price	Futures Price (Premium or Discount), Options Price

FUTURES

WHAT ARE FUTURES?

- ✓ It is an Agreement or a Contract between two parties to buy or sell specified quantity of the underlying asset at a price agreed upon by the Buyer and Seller on or before a specified time.
- ✓ Both Buyer and Seller of the contract are “Obligated” to Buy or Sell the Underlying Asset.
- ✓ Risk and Reward are “UNLIMITED” for both Buyer and Seller.
- ✓ Limit your Risk by following Stop Loss.

FUTURES CONTRACTS

/www.nseindia.com/live_market/dynaContent/live_watch/fomwatchsymbol.jsp?key=HINDALCO&Fut_Opt=Futures



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9,595.10

85.35 ▲ 0.90%

Stock of the nation

Normal Market has Closed. May 26, 2017

Next Trading Date : May 29, 2017

(All prices in ₹)

Equity



Enter company name or symbol



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HINDALCO Futures

As on May, 26 2017 15:30:29 IST

Option chain

Instrument	Underlying	Expiry Date	Option Type	Strike Price	Open Price	High Price	Low Price	Prev. Close	Last Price	Volume	Turnover (lacs)	Underlying Value
Stock Futures	HINDALCO	29JUN2017	-	-	191.80	203.95	190.50	191.35	199.60	14,042	97,969.63	198.25
Stock Futures	HINDALCO	27JUL2017	-	-	194.80	204.60	194.80	192.30	201.00	84	591.23	198.25
Stock Futures	HINDALCO	31AUG2017	-	-	201.00	201.00	201.00	193.95	201.00	5	35.18	198.25

FUTURES - TERMINOLOGIES

- ✓ **Long:** It is another name for Buying in the Future market.
- ✓ **Short:** It is another name for Selling in the Future market. It is also known as Short selling. It helps traders to make profit from declining stock and index prices. Simply put, you first sell at a high and then buy at a low.
- ✓ **Spot Price:** Price of the underlying asset in the Spot market. In Derivative market, all the open positions are squared off at Spot price on F&O Expiry day.
- ✓ **Future Price:** Price of Future contract of underlying asset in Derivative market.
 - **Premium:** When Future price is more than Spot value, it is said that Future is at Premium, indicating High Demand and Bullishness.
 - **Discount:** When Future price is less than Spot value, it is said that Future is at Discount, indicating High Supply and Bearishness.

FUTURES - TERMINOLOGIES

- ✓ **Contract/Lot Size:** In the Derivatives market, contracts cannot be traded for a single share. Instead, every stock futures contract consists of a fixed lot of the underlying share. E.g. Reliance F&O contract has a lot of 500 RIL shares.

- ✓ **Contract Month:**
 - Current or Near Month – Mostly Liquid
 - Next or Mid Month (2nd Month) – Mostly Illiquid
 - Far Month (3rd Month) – Almost zero liquidity in Indian Markets

- ✓ **Contract Expiry:**
 - Last Thursday of every month for Monthly Expiry. E.g. NIFTY
 - Every Thursday for Weekly Expiry. E.g. BANKNIFTY and Now in NIFTY

- ✓ **Roll Over:** It refers to carrying forward of Futures positions from one series which is nearing Expiry date, to the next one.

FUTURES - TERMINOLOGIES

- ✓ **Cost of Carry:** Premium over the spot price in Futures.
- ✓ **Open Interest (OI):** Total outstanding positions in the Futures market at a given point of time.
- ✓ **Volume:** Number of contracts traded during a period.
- ✓ **MTM [Mark-To-Market]:** At the end of each trading day, the margin account is adjusted to reflect the investors gain or loss depending upon the Futures closing price.
- ✓ **Initial Margin:** Deposit required to pay to the broker to take a position in F&O market.
- ✓ **Maintenance Margin :** To ensure that the balance in the margin account never becomes negative. If the balance in the margin account falls below the maintenance margin, the investor receives a margin call and is expected to top up the margin account to the initial margin level before trading commences on the next day.

OPTIONS

WHAT ARE OPTIONS?

- ✓ Options are contracts which provide the holder the right to sell or buy a specified quantity of an underlying asset at a fixed price on or before the expiration of the option date.
- ✓ Options provide a right and not the obligation to buy or sell.
- ✓ Developed for Hedging and Speculating!
- ✓ There are two basic types of Options:
 - **CALL Option:** It is an option contract which provides the holder a right to buy specified assets at specified price on or before a specified date.
 - **PUT Option:** It is an option contract which provides the holder a right to sell specified assets at specified price on or before a specified date.

WHY OPTIONS?

- ✓ **Flexibility:** It provides multiple execution strategies to implement one view. E.g. If view is Bullish then one can either Buy Calls or Sell Puts.
- ✓ **Leverage:** It offers the highest leverage where one can invest very minimal amount in the form of Premium and take much greater exposure of the underlying asset.
- ✓ **Incomparable Risk/Reward:** It provides very large profit potential with pre-known maximum risk for an option buyer.
- ✓ **Seller Profits:** Selling options is like selling insurance so anyone who fees like earning revenues by selling insurance can set himself up to do so in the Options market.

DIFFERENCE B/W FUTURES & OPTIONS

PARAMETERS	FUTURES	OPTIONS
INVESTMENT	Need to pay Margin Cost (15-20%) for both Buying and Selling Futures	Option Buying - Need to pay complete Premium Cost Option Selling - Need to pay Margin Cost (15-20%) but Receives Premium
VIEW EXECUTION	Bullish – Buy / Long Bearish – Sell / Short	Bullish – Buy Call / Sell Put Bearish – Buy Put / Sell Call
TIME IMPACT	No Impact	Significant as Option value constitutes of Time Value which becomes Zero at Expiry
PLEDGING CAPITAL	Allowed to use for both buying and selling Futures	Allowed to use only for selling Options
PRICE DENOMINATION	Futures Price (Premium or Discount)	Options Price (Premium)
BREAK-EVEN POINT	Immediate similar to Cash market	Close or Far according to Option Price
RISK REWARD	Both Buying and Selling have Unlimited Risk and Reward	Option Buying - Limited Risk and Unlimited Reward Option Selling - Unlimited Risk and Limited Reward

OPTIONS TERMINOLOGIES

✓ **American Options:**

- Currently not used in Indian Market
- Can be exercised at any time before the expiration or on the expiration date.
- CA: Call American, PA: Put American

✓ **European Options:**

- Used for Index and Stocks in Indian Market
- Can be exercised only on the expiry date and not before.
- CE: Call European, PE: Put European

✓ **Option Buyer / Holder:** The buyer of an option is the one who by paying the option premium buys the right but not the obligation to exercise his option on the seller/writer.

✓ **Option Seller / Writer:** The seller of an option is the one who receives the option premium and is thereby obliged to sell/buy the asset if the buyer exercises on him.

OPTIONS - TERMINOLOGIES

✓ **Option Price/Premium:**

- The upfront payment made by the buyer to the seller to enjoy the privileges of an option contract.
- $\text{Intrinsic Value} + \text{Time Value}$

✓ **Intrinsic Value:**

- The amount by which an Option is In the Money
- For a call option : $\text{Intrinsic value} = \text{Spot price} - \text{Strike price}$
- For a put option : $\text{Intrinsic value} = \text{Strike price} - \text{Spot price}$
- E.g. If RIL spot is 920 & RIL 900 call is at a premium of Rs. 25 then Intrinsic Value is 20.

✓ **Time Value:**

- The amount by which the Option is Out of the Money
- The longer the time remaining until an option's expiration, the higher its premium will be.
- Time Value becomes Zero at Expiry.
- E.g. If RIL spot is 920 & RIL 900 call is at a premium of Rs. 25 then Time Value is 5.

OPTIONS - TERMINOLOGIES

- ✓ **Strike Price / Exercise Price:**
 - The pre-determined price at which the underlying asset can be bought or sold.
 - E.g. Nifty strikes prices of 9500, 9550, 9600, 9650, etc.
 - Strikes which are closer to the spot price are more liquid and expensive.

- ✓ **ATM - At the Money (Break-Even Point):**
 - An option with strike price equivalent to the current spot price

- ✓ **ITM - In the Money (Profit Zone):**
 - A Call option with strike price below the spot price
 - A Put option with strike price above the spot price

- ✓ **OTM - Out of the Money (Loss Zone):**
 - A Call option with strike price above the spot price
 - A Put option with strike price below the spot price

OPTIONS - TERMINOLOGIES

- ✓ **Open Interest (OI):** It refers to the total number of outstanding positions on a particular options contract across all participants in the market at any given point of time. It becomes Zero past the expiration date for a particular contract.

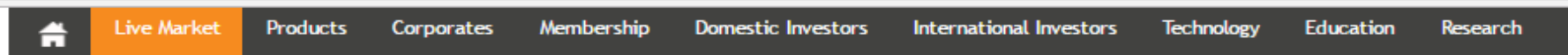
- ✓ **Implied volatility (IV):**
 - It is the estimated volatility of underlying asset price.
 - In general, implied volatility increases when the market is bearish and decreases when the market is bullish. This is due to the common belief that bearish markets are riskier than bullish markets.

- ✓ **Expiration Date:** A day on which the option is no longer valid and ceases to exist.
 - Last Thursday of every month for Monthly Expiry. E.g. NIFTY
 - Every Thursday for Weekly Expiry. E.g. BANKNIFTY

- ✓ **Exercise Day:** The date when the buyer/holder of an option exercises the Option.

OPTION CHAIN

/www.nseindia.com/live_market/dynaContent/live_watch/option_chain/optionKeys.jsp?symbolCode=1230&symbol=HINDALCO&symbol=HINDALCO



Home > Live Market > Option Chain > Equity Derivatives > Options Contracts

Option Chain (Equity Derivatives)

Underlying Stock: **HINDALCO 198.25** As on May 26, 2017 15:30:29 IST

View Options Contracts for: OR Filter by: Expiry Date

CALLS											PUTS											
Chart	OI	Chng in OI	Volume	IV	LTP	Net Chng	Bid Qty	Bid Price	Ask Price	Ask Qty	Strike Price	Bid Qty	Bid Price	Ask Price	Ask Qty	Net Chng	LTP	IV	Volume	Chng in OI	OI	Chart
	17,500	-	-	-	67.00	-	-	-	-	-	120.00	-	-	0.20	3,500	-	-	-	-	-	-	
	-	-	-	-	-	-	-	-	-	-	125.00	-	-	0.20	3,500	-	-	-	-	-	-	
	17,500	-	-	-	57.00	-	-	-	-	-	130.00	-	-	0.50	3,500	-	-	-	-	-	-	
	3,500	-	-	-	52.35	-	3,500	35.00	-	-	135.00	-	-	0.50	3,500	-	-	-	-	-	-	
	-	-	-	-	-	-	-	-	-	-	140.00	-	-	0.10	3,500	-	-	-	-	-	-	
	-	-	-	-	-	-	-	-	-	-	145.00	7,000	0.05	0.20	3,500	-0.65	0.10	46.78	14	49,000	49,000	
	35,000	7,000	2	-	48.70	7.80	3,500	41.00	-	-	150.00	10,500	0.15	0.20	3,500	-0.30	0.15	44.88	11	35,000	38,500	
	-	-	-	-	-	-	-	-	-	-	155.00	14,000	0.20	0.40	3,500	-1.45	0.30	45.17	33	84,000	84,000	
	-	-	-	-	-	-	35,000	37.15	43.35	35,000	160.00	3,500	0.40	0.50	7,000	-0.30	0.45	43.58	88	-38,500	269,500	
	3,500	-	-	-	25.50	-	35,000	32.25	38.30	35,000	165.00	3,500	0.70	0.75	3,500	-0.75	0.75	43.13	53	84,000	105,000	
	3,500	-	-	-	21.00	-	14,000	28.35	34.30	38,500	170.00	3,500	1.05	1.20	7,000	-0.75	1.10	41.69	369	231,000	1,197,000	
	10,500	-	-	-	17.25	-	10,500	25.35	27.70	24,500	175.00	3,500	1.60	1.80	3,500	-0.90	1.85	42.30	233	-24,500	1,046,500	
	52,500	-	1	-	17.65	2.15	35,000	17.60	25.00	3,500	180.00	17,500	2.60	2.65	3,500	-1.75	2.60	40.99	659	147,000	875,000	
	84,000	-21,000	47	42.00	19.00	6.65	14,000	17.65	19.05	7,000	185.00	3,500	3.75	4.00	17,500	-2.10	3.90	41.29	272	112,000	455,000	
	1,074,500	136,500	662	38.38	14.90	5.20	3,500	14.85	15.60	3,500	190.00	3,500	5.50	5.55	3,500	-2.80	5.55	41.47	780	675,500	1,015,000	
	364,000	10,500	704	39.49	12.15	4.50	3,500	12.15	12.65	3,500	195.00	3,500	7.30	7.55	3,500	-3.80	7.45	41.03	498	283,500	378,000	
	1,204,000	133,000	1,765	39.80	9.65	3.85	3,500	9.60	9.80	7,000	200.00	3,500	9.75	10.00	7,000	-4.20	9.95	41.47	554	511,000	1,015,000	
	430,500	266,000	804	40.28	7.60	3.30	3,500	7.45	7.60	3,500	205.00	3,500	12.40	13.25	14,000	-4.90	12.80	41.74	13	24,500	52,500	
	1,708,000	1,319,500	1,754	40.66	5.90	2.65	3,500	5.85	5.95	3,500	210.00	3,500	15.60	16.55	7,000	-8.50	15.50	39.78	23	17,500	154,000	
	276,500	227,500	206	40.19	4.35	2.05	7,000	4.30	4.70	3,500	215.00	21,000	18.90	20.50	10,500	-	23.50	-	-	-	14,000	
	784,000	591,500	842	40.66	3.30	1.50	17,500	3.30	3.40	7,000	220.00	17,500	22.50	-	-	-11.65	22.00	35.05	1	3,500	31,500	
	192,500	105,000	141	40.30	2.35	1.00	3,500	2.20	2.60	7,000	225.00	10,500	26.85	28.40	10,500	-	30.95	-	-	-	3,500	
	1,291,500	1,228,500	705	40.44	1.70	0.75	3,500	1.70	1.95	3,500	230.00	35,000	28.05	36.65	35,000	-3.95	32.00	45.11	32	14,000	49,000	
	374,500	371,000	181	40.44	1.20	0.75	3,500	0.65	1.40	3,500	235.00	-	-	-	-	-	-	-	-	-	-	
	714,000	675,500	339	40.62	0.85	0.35	7,000	0.80	0.90	3,500	240.00	-	-	-	-	-	-	-	-	-	-	
Total	8.641.500		8.153																3.633		6.832.000	Total

Top

Note : 10% interest rate is applied while computing implied volatility.

Highlighted options are in-the-money.

OPTIONS SUMMARY

CALL OPTION BUYER : LONG CALL	CALL OPTION WRITER (Seller) : SHORT CALL
• Pays premium • Right to exercise and buy the shares • Profits from rising prices • Limited losses, Potentially unlimited gain	• Receives premium • Obligation to sell shares if exercised • Profits from falling prices or remaining neutral • Potentially unlimited losses, limited gain
PUT OPTION BUYER : LONG PUT	PUT OPTION WRITER (Seller) : SHORT PUT
• Pays premium • Right to exercise and sell shares • Profits from falling prices • Limited losses, Potentially unlimited gain	• Receives premium • Obligation to buy shares if exercised • Profits from rising prices or remaining neutral • Potentially unlimited losses, limited gain

IMPORTANT TIPS FOR OPTIONS TRADING

- Don't trade in Options without proper understanding and practice of Technical Analysis and Options Analysis
- Avoid Illiquid stock options
- Avoid deep OTM options
- Be aware of Time decay in options

Q & A

THANK YOU



AVADHUT SATHE
—TRADING ACADEMY—

ALL-FOR-ONE ONE-FOR-ALL

DEVELOPING CHARACTER THAT DESERVES SUCCESS !